



**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential

PAYROLL ACCOUNTING

(125)

NATIONAL 2025

Multiple Choice & Matching:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Matching (10 @ 2 points each) _____ (20 points)

Short Answer (9 @ 2 points each) _____ (18 points)

Production:

Job 1: Unemployment Taxes (17 @ 2 points each) _____ (34 points)

Job 2: Payroll Register (29 @ 1 point each) _____ (29 points)

Job 3: Journalizing (50 @ 1 point each) _____ (50 points)

TOTAL POINTS _____ **(191 points)**

**Judge/Graders: Please double check and verify all
scores and answer keys!**

Multiple Choice (20 @ 2 points each = 40 points)

1.	B
2.	B
3.	A
4.	C
5.	C
6.	D
7.	D
8.	B
9.	C
10.	A
11.	C
12.	B
13.	C
14.	D
15.	C
16.	C
17.	B
18.	C
19.	D
20.	A

Matching (10 @ 2 points each = 20 points)

1.	J
2.	E
3.	I
4.	B
5.	C
6.	H
7.	F
8.	D
9.	G
10.	A

Short Answer: (9 @ 2 points each = 18 points)

1. Regular bi-weekly pay **\$2,800**
 Hourly Rate **\$40**
 Overtime Hourly Rate **\$60**
 Overtime Earnings **\$480**
 Total Earnings **\$3,280**

2. Regular Salary **\$1,810**
 Sales Subject to Bonus **\$3,150**
 Bonus Earnings **\$141.75**
 Total Earnings **\$1,951.75**

Job 1: Unemployment Taxes (17 @ 2 points each = 34 points)

PAYROLL	SUTA liability	FUTA Liability
1 st	<u>\$232.31</u>	<u>\$34.42</u>
7 th	<u>\$232.31</u>	<u>\$29.38</u>
14 th	<u>\$46.33</u>	<u>\$6.86</u>

NOTE TO GRADER: Accept variations in account titles because of various textbooks used by students. Award points for account title as long as the student had the word “payable” or “expense” if required.

Date		Account Title	Debit				Credit			
2	19	Payroll Tax Expense		5	9	0	79			
		FUTA Payable							2	9
		SUTA Payable							2	3
		Social Security Tax Payable							2	6
		Medicare Tax Payable							6	2
(2 points)		(10 points)	(2 points)				(8 points)			

Job 2: PAYROLL REGISTER (1 points each answer - 29 points—shown in **bold** print)

Emp#	Earnings			Fed Inc Tax	SS Tax	Med Tax	United Way	Total Ded	Net Pay
	Reg.	OT	Total						
1	746.25	115.00	861.25	82.00	53.40	12.49	45.00	192.89	668.36
2	521.35		521.35	42.00	32.32	7.56	45.00	126.88	394.47
3	647.56		647.56	63.00	40.15	9.39	45.00	157.54	490.02
4	312.25	81.73	393.98	30.00	24.43	5.71	25.00	85.14	308.84
Totals	2,227.41	196.73	2,424.14	217.00	150.30	35.15	160.00	562.45	1,861.69

JOB 3: JOURNALIZING THE PAYROLL (1 point each answer - 50 points)

GENERAL JOURNAL					PAGE 1	
Date	Account Title			Doc No.	Post Ref	Credit
Jan 15	Salary Expense			C1118		6,518.22
	Employee Income Tax Payable					409.00
	Social Security Tax Payable					403.21
	Medicare Tax Payable					94.33
	Health Insurance Premiums Payable					300.00
	United Way Donations Payable					50.00
	Cash					5,261.68
15	Payroll Tax Expense			M265		901.67
	Social Security Tax Payable					403.21
	Medicare Tax Payable					94.33
	Unemployment Tax Payable-Federal					52.15
	Unemployment Tax Payable-State					351.98

15	Employee Income Tax Payable	C1119		818.00	
	Social Security Tax Payable			1,570.92	
	Medicare Tax Payable			348.92	
	Cash				2,737.84
31	Unemployment Tax Payable-Federal	C1224		52.30	
	Cash				52.30
31	Unemployment Tax Payable-State	C1225		256.33	
	Cash				256.33
(5 pts)	(20 points)	(5 pts)		(7 points)	(13 points)